



Board of directors

Public companies are required by law to appoint a board of directors to provide oversight.

How it works

All companies must have at least one director. If a company goes public and issues shares, it is legally required to have a board of directors. The board is made up of experienced business advisers who provide independent oversight of the company for shareholders and are mandated by law to govern the company responsibly.

Board members may come from within the company or be independent outsiders, and should cover a range of expertise—such as legal, financial and marketing—or have specialized industry knowledge. Networkers are also highly prized for their ability to build connections with influential figures in the corporate and governmental spheres. From within their ranks, the board elects a chairman, vice-chairman, secretary, and treasurer.

Board of directors

The board of directors of a publicly listed company sits between the company and its shareholders.

Secretary

Appointed by

The board

Responsible for

- Publicly representing the company's policies and leading board meetings

Treasurer

Appointed by

The board

Responsible for

- Presenting yearly accounts
- Leading audit committee

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Shareholders

Any person or institution that has bought shares in a publicly listed company is a shareholder. The board works for the shareholders, who effectively own the company.

